

BIG GROWTH AREAS



TRADITIONAL CATEGORIES



cation and smartly using social media. “There is the patience and staying power to build scale over time. As they transition from dairy, the playing field will not be restricted to just India, and the power of the Amul brand can be leveraged exponentially,” he says.

Rahul daCunha, MD of daCunha Communications, which created the iconic Amul girl and runs the funny topical ads, says, “Consistency is the heart of brand equity. Speaking of the girl, we keep her constant be it the polka dotted dress or the blue hair and that cannot change,” he says. The girl never pokes fun but will only nudge you with a smile. “People see her as a symbol of continuity in the midst of so much change.”

BEING SAVVY

Cricket continues to be the biggest event in India. Amul decided to be the official sponsor not for India but for Afghanistan, Sri Lanka and South Africa in the ongoing ICC Men’s Cricket World Cup. “It does not have to be expensive if you are good at deal-making,” says Mehta with a grin. Last year, they were the regional sponsors for the Portugal and Argentina football teams at the FIFA World Cup.

Again, given the vast base of users on social media, Amul operates in 14 languages, including Sanskrit, Sindhi and even Arabic for the Middle East, a key market. From a spend perspective, Amul’s outgo on advertising is less than one per cent of its sales, while FMCG biggies easily spend upwards of 8-10 per cent. Combine that with the part on doing good as a co-operative, and the model becomes formidable.

Private sector rivals say Amul has no pressure to deliver profits as it is a co-operative. But Shivakumar says, “Many food MNCs were unprofitable for the first two decades in India. Amul does not get enough credit for helping Indian farmers, and it is hard to think of many co-operatives as large as them worldwide.”

The plan is to invest ₹5,500 crore in new projects. Mehta says it will include a new AmulFed dairy (the manufacturing unit of GCMF) in Rajkot, new plants across Pune, Ujjain, Kolkata, and Goa, and the expansion of eight ice cream plants. Amul is also creating beachheads in south India. Referring to the controversy surrounding the Nandini brand, Mehta makes it clear that there is a good relationship, and Amul ice cream is manufactured at Nandini’s plants. Amul is getting into what could be the most critical phase of its growth. Normally, growth on a large base is difficult. Amul is pushing that mindset to the limit. **BT**

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